November 12, 2026 03:15 PM GMT

Lotes Co. Ltd | Asia Pacific

3Q GM Decline Eases; 4Q Recovery in Focus

AlphaSignals Earnings Reaction

Unchanged	Modest shortfall	Modest revision lower
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 3Q GM fell 60bps q/q, to 44.8%, 20bps above our estimate but 70bps below the Street. The sequential decline continued to narrow.
- EPS of NT$17.09 missed our estimate and the Street by 12%, with opex 10% above our estimate/9% above the Street.
- We believe the new server CPU socket production ramp in 4Q can support our view of 4Q GM recovery.
- The call tomorrow should help clarify that and the opex overshoot.

3Q results:

- GM came in at 44.8% (-60bps q/q, -640bps y/y), 20bps above our estimate. 3Q GM continued to face margin headwinds from rising raw material costs, which we highlighted in our recent upgrade report here. We look forward to management's comment during its results call to see if 4Q margin will be guided to return to growth.
- Opex was higher than expected at NT$2.2bn, 10% above our estimate and 9% above the Street.
- So OpM wa only 22.9% (+100bps q/q, -700bps y/y), 180bps below our estimate and 250bps below the Street.
- Net profit was NT$1,919mn (-3% q/q, -17% y/y) for EPS of NT$17.09, 12% below our estimate and 12% below the Street.
- *Lotes is holding an earnings call on November 13 at 4 PM HKT; we will provide takeaways after the call.*

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Lotes Co. Ltd. (3533.TW, 3533 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$2,350.00
Up/downside to price target (%)	35
Shr price, close (Nov 12, 2026)	NT$1,740.00
52-Week Range	NT$2,955.00-1,140.00
Sh out, dil, curr (mn)	105
Mkt cap, curr (mn)	NT$182,325
EV, curr (mn)	NT$169,088
Avg daily trading value (mn)	NT$2,747

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	70.18	79.63	106.88	142.26
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	68.94	80.52	113.25	144.70
Revenue, net (NT$ mn)	33,783	39,271	47,293	57,352
EBITDA (NT$ mn)	12,955	12,683	16,879	21,749
ModelWare net inc (NT $ mn)	7,866	8,925	11,979	15,945
P/E	18.5	21.9	16.3	12.2
P/BV	3.6	4.3	3.7	3.1
RNOA (%)	37.7	29.7	42.8	54.6
ROE (%)	20.7	22.1	26.3	30.0
EV/EBITDA	10.2	12.9	9.3	6.9
Div yld (%)	3.3	2.0	2.3	3.1
FCF yld ratio (%)**	2.1	4.6	5.3	7.0
Leverage (EOP) (%)	(32.8)	(40.6)	(46.1)	(51.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Exhibit 1: 3Q26P results summary table

	3Q26P Results						
NT$mn	**Actual**	**QoQ**	**YoY**	**MS Est.**	**Var.**	**Cons**	**Var.**
Net sales	**9,958**	**4%**	**18%**	**9,924**	**0%**	**9,992**	**0%**
COGS	-5,494	5%	34%	-5,493	0%	-5,444	1%
Gross profit	**4,464**	**3%**	**4%**	**4,431**	**1%**	**4,548**	**-2%**
Operating expenses	-2,181	-3%	22%	-1,979	10%	-2,007	9%
Operating income	**2,283**	**9%**	**-10%**	**2,452**	**-7%**	**2,542**	**-10%**
Non-operating income	95	-81%	-73%	245	-61%	239	-60%
Pre-tax income	**2,379**	**-8%**	**-17%**	**2,697**	**-12%**	**2,781**	**-14%**
Income tax	-446	-29%	-21%	-506	-12%	-591	-24%
Net income	**1,919**	**-3%**	**-17%**	**2,174**	**-12%**	**2,190**	**-12%**
EPS (NT$)	**17.09**	**-3%**	**-17%**	**19.36**	**-12%**	**19.51**	**-12%**
Margins (%)		***ppt***	***ppt***		***ppt***		***ppt***
Gross margin	44.8%	-0.6	-6.4	44.6%	0.2	45.5%	-0.7
Operating margin	22.9%	1.0	-7.0	24.7%	-1.8	25.4%	-2.5
Pre-tax margin	23.9%	-3.3	-10.3	27.2%	-3.3	27.8%	-3.9
Net margin	19.3%	-1.5	-8.3	21.9%	-2.6	21.9%	-2.6

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

Valuation Methodology and Risks

Lotes Co. Ltd. (3533.TW)

Primary - Residual Income

Base case, residual income model. Key assumptions include a cost of equity of 9.6% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 12.5%, and a terminal growth rate of 3%.

Risks to Upside

- Stronger-than-expected growth in the server business, such as from cloud and enterprise in China
- Stronger-than-expected DT demand
- Sooner-than-expected inventory digestion of NB
- Faster ramp-up of its EV business

Risks to Downside

- Further deceleration of server demand from US hyperscalers
- Weaker-than-expected DT demand
- Slower-than-expected inventory digestion of NB
- More severe pricing erosion driven by competition

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Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

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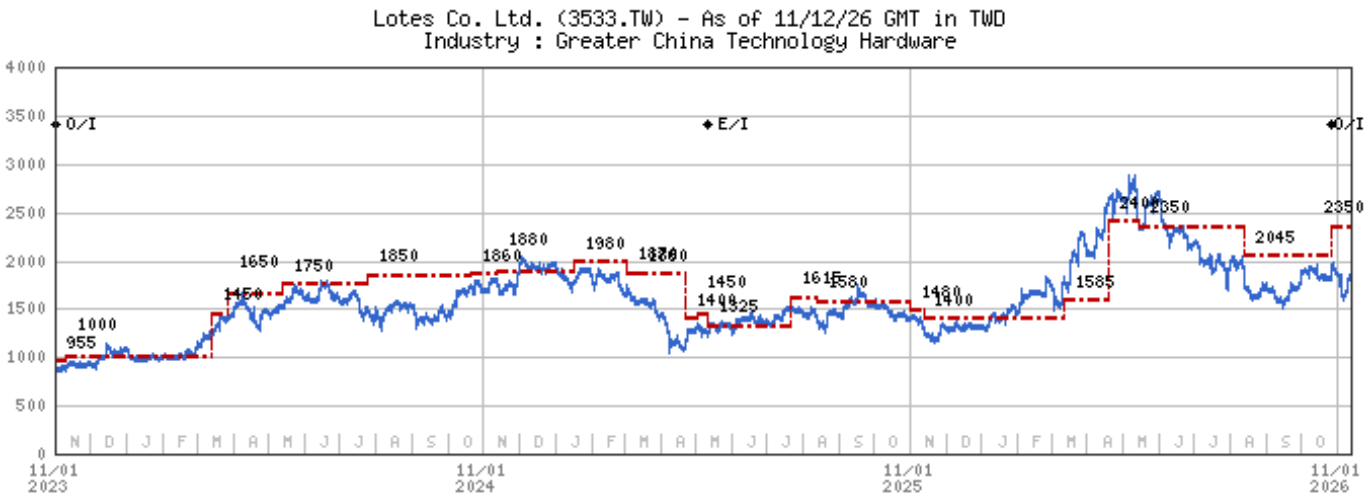
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Stock Rating History: 10/6/22 : O/I; 5/12/25 : E/I; 10/27/26 : O/I

Price Target History: 10/6/22 : 959.17; 10/21/22 : 984.02; 3/21/23 : 984; 5/12/23 : 1100; 7/17/23 : 955; 11/10/23 : 1000; 3/13/24 : 1450; 3/27/24 : 1650; 5/13/24 : 1750; 7/25/24 : 1850; 10/21/24 : 1860; 11/12/24 : 1880; 1/17/25 : 1980; 3/4/25 : 1870; 3/12/25 : 1860; 4/23/25 : 1400; 5/2/25 : 1450; 5/12/25 : 1325; 7/21/25 : 1615; 8/13/25 : 1580; 11/1/25 : 1480; 11/12/25 : 1400; 3/13/26 : 1585; 4/20/26 : 2400; 5/15/26 : 2350; 8/13/26 : 2045; 10/27/26 : 2350

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/12/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.58
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb103.28
BYD Electronics (0285.HK)	O (04/28/2023)	HK$20.68
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.80
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.16
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb205.58
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$980.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb24.66
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.06
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.88
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$55.10
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,055.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.67
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.47
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$6.05
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$50.30
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb50.82
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.56
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.20
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb85.20
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.96
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb62.26
Sunny Optical (2382.HK)	E (03/23/2026)	HK$64.30

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb140.34
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.00
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$29.98
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb268.62
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$95.45
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb112.11
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.77
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb508.90
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$649.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$19.74
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.03
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,525.00
Advantech (2395.TW)	O (01/20/2021)	NT$603.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,050.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,775.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$29.20
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,170.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,515.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.41
Chenbro (8210.TW)	E (11/09/2026)	NT$601.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,420.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,240.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$140.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,980.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$315.00
Innolux (3481.TW)	E (04/07/2025)	NT$38.85
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,165.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb28.05
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$228.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.46
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.47
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$29.70
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$890.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$30.00
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,105.00
FIT Hon Teng Ltd (6088.HK)	E (11/09/2026)	HK$2.80
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb43.35
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$289.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$975.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$240.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.98
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$28.86
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,100.00
Lenovo (0992.HK)	O (07/10/2026)	HK$18.81
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,740.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$972.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$92.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$278.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb75.71
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb231.34
Unimicron (3037.TW)	O (02/23/2026)	NT$792.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$377.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$170.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,570.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$407.00
Zhen Ding (4958.TW)	++	NT$430.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$368.50
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$956.00

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